

The literature sent to shareholders explaining the spinoff is usually hastily prepared, blasé, and understated, which makes it even better than the regular annual reports. Spinoff companies are often misunderstood and get little attention from Wall Street. Investors often are sent shares in the newly created company as a bonus or a dividend for owning the parent company, and institutions, especially, tend to dismiss these shares as pocket change or found money. These are favorable omens for the spinoff stocks.

This is a fertile area for the amateur shareholder, especially in the recent frenzy of mergers and acquisitions. Companies that are targets of hostile takeovers frequently fight off raiders by selling or spinning off divisions that then become publicly traded issues on their own. When a company is taken over, the parts are often sold off for cash, and they, too, become separate entities in which to invest. If you hear about a spinoff, or if you're sent a few fractions of shares in some newly created company, begin an immediate investigation into buying more. A month or two after the spinoff is completed, you can check to see if there is heavy insider buying among the new officers and directors. This will confirm that they, too, believe in the company's prospects.

The greatest spinoffs of all were the "Baby Bell" companies that were created in the breakup of ATT: Ameritech, Bell Atlantic, Bell South, Nynex, Pacific Telesis, Southwestern Bell, and US West. While the parent has been an uninspiring performer, the average gain from stock in the seven newly created companies was 114 percent from November, 1983, to October, 1988. Add in the dividends and the total return is more like 170 percent. This beats the market twice around, and it beats the majority of all known mutual funds, including the one run by yours truly.

Once liberated, the seven regional companies were able to increase earnings, cut costs, and enjoy higher profits. They got all the local and regional telephone business, the yellow pages, along with 50 cents for every \$1 of long-distance business generated by ATT. It was a great niche. They had already gone through an earlier period of heavy spending on modern equipment, so they didn't have to dilute shareholders' equity by selling extra stock. And human nature being what it is, the seven Baby Bells set up a healthy competition amongst themselves, and also between themselves and their proud parent, Ma Bell. Ma, meanwhile, was losing its stranglehold on its highly profitable leased equipment business, and facing new competitors such as Sprint and MCI, and sustaining heavy losses in its computer operations.

Investors who owned the old ATT stock had eighteen months to decide what to do. They could sell ATT and be done with the whole complicated mess, they could keep ATT plus the shares and fractions of shares in the new Baby Bells